

Outlook

From	leanne.adams@model.risk.keystonebank.co.za
To	analytics.retail@keystonebank.co.za, compliance.retail@keystonebank.co.za
Cc	credit.risk.retail@keystonebank.co.za, legal.counsel@keystonebank.co.za
Sent	Mon, 17 Oct 2022 13:31:00 -0000

Follow-up: does the model treat data quality as customer risk?

Morning,

I need help with something that sounds simple but probably is not.

Model Risk is concerned that channel, document availability and data completeness may become proxies for customer groups rather than genuine risk. Failure anecdotes are beginning to drive decisions, although retries and late posting may be making the problem look larger than the affected-customer population.

The questions I would ask in the room are:

1. What would we expect to see if branch and digital populations differ before modelling?
2. What evidence would instead support that performance gaps disappear after controlling for product and income?
3. How do we rule out that missing documents drive predictions?

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use October 2022 as the new evidence point rather than recycling the earlier conclusion. Please work towards which features need restriction, monitoring or clearer business justification. A useful output would be a model-ready table, data dictionary and an honest baseline.

Use monthly customer and KYC snapshots; monthly account snapshots, status events, limits, product enrolments and signatories; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments. One caution: Protected-attribute analysis must be governed and access-controlled; do not use ethnicity or gender for targeting or adverse treatment.

Regards